SUPREME COURT · JUDGMENT DIGEST

Dakshin Gujarat Vij Company Limited & Anr. *v.* Vaibhav Metal Crusher (with Paschim Gujarat Vij Company Limited & Anr. *v.* Jamanbhai Nanajibhai Bhuva)

Civil Appeals arising out of SLP (C) No. 17868 of 2024 & SLP (C) No. 8778 of 2025 | 2026 INSC 1157 | Supreme Court of India | 26 October 2026

COURT	Supreme Court of India (Civil Appellate Jurisdiction)
CORAM	Hon'ble Mr. Justice Manoj Misra & Hon'ble Mr. Justice K.V. Viswanathan (judgment delivered by Manoj Misra, J.)
DATE OF JUDGMENT	26 October 2026 (Reportable; pronounced at New Delhi, October 26, 2026; digitally signed 2026.10.26)
NATURE OF PROCEEDING	Civil Appeals (by special leave) by Gujarat distribution licensees against orders of the Division Bench of the High Court of Gujarat in LPA No. 592 of 2024 (order dated 25.06.2024) and LPA No. 474 of 2024 (order dated 25.04.2024), arising from writ applications under Article 226 challenging supplementary bills raised for theft of electricity
PARTIES	Dakshin Gujarat Vij Company Limited and Paschim Gujarat Vij Company Limited, distribution licensees (appellants) *v.* M/s Vaibhav Metal Crusher and Jamanbhai Nanajibhai Bhuva, consumers accused of theft of electricity (respondents)
PROVISIONS	Electricity Act, 2003: Sections 50, 126, 127, 135 (including sub-section (1A) and its provisos), 150, 151, 152, 153, 154(1), 154(5), 154(6) and Explanation, 181(2)(x), 183; Electricity (Removal of Difficulties) Order, 2005, Paragraph 2; Gujarat Electricity Regulatory Commission (Electricity Supply Code and Related Matters) Regulations, 2015: Paras 2.3(7), 2.3(8), 7.1, 7.7, 7.12, 7.31, 7.34, 7.36, 7.38–7.45, 7.52, Annexure IV; Gujarat Electricity Industry (Reorganization and Regulation) Act, 2003, Section 42(1)(b); Code of Criminal Procedure, 1973, Sections 173, 300; Constitution of India, Article 226
RESULT	**Both appeals dismissed.** The appeal from LPA No. 592 of 2024 is dismissed subject to the clarification that the assessment is subject, first, to an appeal under Section 127 and, finally, to the civil liability determined by the Special Court under Section 154(5) in case of prosecution; the appeal from the remand order in LPA No. 474 of 2024 is dismissed. Pending applications disposed of.

POINT FOR DETERMINATION

1. Whether 'the assessed amount' whose deposit entitles a consumer to restoration of supply under the third proviso to Section 135(1A) of the Electricity Act, 2003 is to be determined by the procedure under Section 126 (provisional assessment, objection, hearing, final assessment), or whether the licensee may raise a demand for theft without affording an opportunity of objection.

2. Whether an assessment made in a case of theft of electricity is appealable under Section 127 of the 2003 Act.
3. Whether the finality attached by Section 127(4) to the appellate order renders nugatory the Special Court's power under Section 154(5) to determine civil liability for theft.
4. Whether, in a case of theft of electricity, the High Court under Article 226 may direct restoration of supply on deposit of 50 percent of the demanded amount, and whether the writ remedy was appropriate given the Special Court's power under Sections 154(5) and (6).
5. Whether the impugned orders of the Division Bench of the Gujarat High Court in LPA No. 592 of 2024 and LPA No. 474 of 2024 warranted interference.

FACTS

Vaibhav Metal Crusher appeal. The respondent, accused of an offence under Section 135 of the 2003 Act, was served on 03.01.2024 with a notice titled a supplementary bill demanding Rs. 92,99,077.55 towards theft of electricity and Rs. 23,45,845 towards compounding charges, with the warning that prosecution under Section 135 would be launched if the amounts were not paid.

On a writ application (Special Civil Application No. 1183 of 2024), a Single Judge of the Gujarat High Court on 12.02.2024, following an earlier High Court decision in LPA No. 1445 of 2023, permitted the respondent to deposit 50 percent of the bill amount including reconnection charges and directed reconnection upon such deposit. The licensee's LPA No. 592 of 2024 contended that reconnection on 50 percent deposit was unwarranted for theft, that no prior hearing is required for a theft demand, and that only the Special Court can determine civil liability under Section 154(5)–(6).

By order dated 25.06.2024 the Division Bench disposed of the appeal and writ application, permitting the consumer to file a reply/objections to the notice dated 03.01.2024 before the Executive Engineer, who was obliged to deal with all objections; the supplementary bill, the deposits and the reconnection direction were made subject to the Executive Engineer's decision, and, if the decision went against the consumer, a remedy of appeal under Section 127 was recognised with the deposits to be adjusted towards the pre-deposit.

Jamanbhai Nanajibhai Bhuva appeal. The consumer challenged a supplementary bill dated 01.06.2023 raised for theft (Special Civil Application No. 13655 of 2023). The Single Judge on 23.01.2024 directed deposit of 50 percent of the demand within four weeks, stayed recovery of the balance, and gave liberty to apply for a fresh connection which was not to be delayed or rejected only on the ground of arrears against the premises. On the licensee's LPA No. 474 of 2024, the Division Bench, after noticing *West Bengal SEDCL v. Orion Metal* and *SOUTHCO v. Sri Seetaram Rice Mill*, remitted the matter to the Single Judge by order dated 25.04.2024 for a fresh order.

Before the Supreme Court the licensees (Shri Ranjit Kumar, Senior Advocate) argued that a theft assessment under Section 135(1A) is distinct from a Section 126 assessment, attracts no objection or Section 127 appeal, and is subject only to the Special Court's determination of civil liability; the consumers (Shri Raghenth Basant) argued that, there being no other provision for assessment, 'the assessed amount' must be assessed under Section 126, an appeal being a continuation of the original proceeding, and that Section 127(4) finality operates only qua restoration of supply.

THIS COURT'S REASONING & HOLDING

HEADNOTE

> In the absence of a specific procedure in the Supply Code notified under Section 181(2)(x) read with Section 50 of the Electricity Act, 2003, 'the assessed amount' that a consumer disconnected for theft must deposit under the third proviso to Section 135(1A) to obtain restoration of supply is to be determined by the same procedure as applies to unauthorised use of electricity under Section 126 — provisional assessment, objection, reasonable opportunity of hearing and final assessment — and is subject to appeal under Section 127. The appellate determination is final only for the limited purpose of restoration of supply; where a criminal complaint is filed it does not bind the Special Court, which determines civil liability under Section 154(5), and any excess deposited is refundable under Section 154(6). While a circumspect approach is required in theft cases, the High Court may, where the provisional assessment is prima facie arbitrary and for reasons recorded, order restoration on payment of not less than 50 percent of the demanded amount, mirroring the Section 127(2) pre-deposit.

Theft necessarily includes unauthorised use of electricity, though not every unauthorised use is theft. Comparing the sub-clauses of clause (b) of the Explanation to Section 126 with those of Section 135(1), the Court found that "theft undoubtedly would include unauthorized use of electricity, though every unauthorized use of electricity may not constitute theft." ¶ 30

Section 126 is the only assessment provision in the Act, and no separate Assessing Officer exists for theft. On its survey of the statute and the Supply Code, 2015, the Court found that the 2003 Act contains no provision for making an assessment other than Section 126 (which addresses unauthorised use), and neither the Act nor the Supply Code specifies a distinct Assessing Officer for theft cases. It also noted that the Supply Code requires the Assessing Officer to apply the same Annexure IV formula for theft as for unauthorised use. ¶ 29–31

'The assessed amount' in the third proviso to Section 135(1A) means an amount assessed under the Section 126 procedure, including notice, objection and hearing. As a logical corollary, the expression "the assessed amount" in the third proviso to Section 135(1A) has to be understood as the amount assessed in accordance with Section 126. Hence, just as Section 126(2) requires service of a provisional assessment and Section 126(3) enables an objection and a reasonable opportunity of hearing before the final assessment, "the same procedure, which conforms to the principles of natural justice," must be adopted to assess the amount to be deposited for restoration of supply, until a separate procedure is prescribed by the Supply Code. ¶ 31

Following *Orion Metal*: in theft cases, Section 126 assessment and a Section 135 complaint can co-exist, the assessment being subject to the Special Court's determination of civil liability. Drawing on *West Bengal SEDCL v. Orion Metal*, the Court held it clear that where unauthorised use amounts to theft, besides assessment proceedings under Section 126(1), a complaint can be filed under Section 135(1), the Special Court is empowered to determine civil liability under Section 154(5), and any excess deposited is refundable. This implies that in theft cases where a criminal complaint is filed, the assessment under Section 126 read with the Supply Code is subject to the final determination of civil liability under Section 154(5). ¶ 33

The licensee's contention that there can be no Section 126-type assessment in theft cases is rejected; the third proviso is an emergency provision. The Court held the licensee's contention not correct when Section 135(1A) is read with the other provisions of the Act and the Supply Code. The third proviso is an emergency provision enabling a consumer disconnected on an accusation of theft to seek restoration of an essential commodity; if the consumer had to await final determination of civil liability under Section 154(5), its very purpose would be frustrated. With no provision other than Section 126 to determine the 'assessed amount' and a singular Annexure IV formula in the Supply Code, adopting the same procedure "cannot be faulted." ¶ 34

A Section 127 appeal lies, and Section 127(4) finality does not render Section 154(5) otiose. Rejecting the licensee's argument that allowing an appeal in theft cases would, through the finality clause, make the Special Court's power redundant, the Court held that where there is a complaint of theft the finality of the appellate order is limited to

determining the amount required for restoration of supply disconnected under Section 135(1A); it does not absolve the offender of civil liability determined by the Special Court under Section 154(5), as is clear from the refund mechanism in Section 154(6). ¶ 35

Legal position: assessment under Section 126 is subject to appeal under Section 127, final only for restoration, and subject to Section 154(5) where a complaint is filed. Since an appeal is a continuation of the original proceeding, the amount assessed under Section 126 is subject to the order in a Section 127 appeal, and the amount so determined is final for the limited purpose of restoration under the third proviso to Section 135(1A). In theft cases where a criminal complaint is filed, the determination under Sections 126 and 127 remains subject to the Special Court's determination of civil liability under Section 154(5). ¶ 36

Summary of conclusions (i)–(iii). (i) In theft cases, absent a specific Supply Code procedure, the 'assessed amount' for restoration under the third proviso to Section 135(1A) is determined by the same procedure as for assessing charges for unauthorised use; (ii) that amount is subject to a Section 127 appeal, the appellate determination being final only for restoration, and not binding on the Special Court where a criminal complaint is filed; (iii) if the amount assessed and deposited exceeds the civil liability determined by the Special Court, the excess is refundable under Section 154(6). ¶ 37

Writ jurisdiction to restore supply in theft cases: circumspection, but no blanket bar. Answering the licensee's contention that restoration on payment of half the provisional assessment is too lenient and fails to deter theft, the Court held that a High Court may, in an appropriate case, exercise constitutional powers to protect a person from arbitrary action of the State and its instrumentalities including a distribution licensee; but in theft cases, which involve mens rea, a liberal approach may not be appropriate, each case turns on its facts, and the High Court may even decline restoration until the entire provisionally assessed amount is deposited. A "circumspect approach" is required. ¶ 38–39

Where the provisional assessment is prima facie arbitrary, restoration may be ordered on payment of not less than 50 percent, mirroring Section 127(2). Recognising that the assessment process (service of provisional assessment, objection, hearing, final assessment and appeal) may take considerable time, the Court held that where the provisional assessment is prima facie arbitrary, the High Court may, for reasons to be recorded, order restoration on payment of such amount out of the demand as is not less than 50 percent — the figure chosen because Section 127(2) requires deposit of half the assessed amount to entertain an appeal. ¶ 40

Application: LPA No. 592 of 2024 upheld with a clarification; remand in LPA No. 474 of 2024 upheld. The High Court was within its jurisdiction in directing restoration on deposit of 50 percent of the provisionally assessed amount and in permitting the consumer to object to the provisional assessment and thereafter deposit the balance finally assessed; these stipulations sufficiently protect the licensee. It ought, however, to have clarified that the determination is subject first to an appeal under Section 127 and finally to the civil liability determined by the Special Court under Section 154(5) in case of prosecution. The remand order in the second appeal merely sent the matter back to the Single Judge to decide in accordance with law and called for no interference. ¶ 41 (both paragraphs so numbered)

FRAMEWORK APPLIED — STATUTORY TEXT AND SUPREME COURT PRECEDENT REPRODUCED IN THE JUDGMENT

ELECTRICITY ACT, 2003 — ASSESSMENT FOR UNAUTHORISED USE AND THEFT; RESTORATION OF SUPPLY; APPEAL; SPECIAL COURT'S CIVIL LIABILITY; GUJARAT SUPPLY CODE, 2015

Sections 126 and 127 — assessment of unauthorised use and appeal STATUTE

Statutory text, extracted and summarised at ¶13–14 (and set out in footnotes): Section 126(1) provides for provisional assessment by the assessing officer, to the best of his judgment, where unauthorised use is found; Section 126(2) requires service of the provisional order; Section 126(3) entitles the person to file objections and requires a final order after a reasonable opportunity of hearing; the Explanation defines 'assessing officer' and 'unauthorized use of electricity'. Section 127 provides an appeal within 30 days, entertained only on deposit of half the assessed amount (sub-s. (2)), with the appellate order made final (sub-s. (4)), no appeal against a consent order (sub-s. (5)) and interest on default (sub-s. (6)). ¶ 13–14

Section 135 — theft, disconnection and restoration STATUTE

Statutory text, extracted at ¶15: Section 135(1) specifies acts amounting to theft if committed dishonestly; Section 135(1A) empowers the licensee to disconnect immediately upon detection; the second proviso obliges the licensee to lodge a written complaint at the police station within 24 hours of disconnection; and the third proviso requires the licensee, "on deposit or payment of the assessed amount or electricity charges in accordance with the provisions of the Act", to restore supply within 48 hours, without prejudice to the obligation to lodge the complaint. ¶ 15

Sections 151–154 — compounding, cognizance, Special Courts and civil liability STATUTE

Statutory text, extracted at ¶16–18: Section 152 provides for compounding of theft at tabulated rates, acceptance amounting to acquittal under Section 300 CrPC; Section 151 restricts cognizance to complaints by specified authorities or a police report under Section 173 CrPC; Section 153 constitutes Special Courts; Section 154(1) makes offences under Sections 135–140 and 150 triable only by the Special Court; Section 154(5) requires the Special Court to determine civil liability for theft at not less than two times the tariff for twelve months (or the exact period, whichever is less), recoverable as a civil decree; Section 154(6) requires refund of any excess deposited with interest; the Explanation defines 'civil liability'. ¶ 16–18

Section 183 and the Electricity (Removal of Difficulties) Order, 2005 STATUTE

Statutory text, extracted at ¶19–20: under Section 183 the Central Government notified the Removal of Difficulties Order, 2005, Paragraph 2 of which requires the Supply Code specified under Section 50 to include a "method of assessment of the electricity charges payable in case of theft of electricity pending adjudication by the appropriate court", disconnection provisions, and measures to prevent theft, without prejudice to the licensee's other rights of recovery. ¶ 19–20

Gujarat Supply Code, 2015 — theft and unauthorised-use procedures and the Annexure IV formula REGULATION

Regulatory text, extracted at ¶21–29: Paras 2.3(7)–(8) define 'Assessing Officer' (designated under Section 126) and 'Authorised Officer' (under Section 135); Para 7.1 requires the Assessing Officer to assess when theft is detected by the Authorised Officer; Paras 7.7 and 7.12 prescribe the period of assessment and assessment at twice the applicable tariff for theft. For unauthorised use, Paras 7.31, 7.34, 7.36, 7.38–7.45 and 7.52 provide for a provisional assessment order, objections within seven days, hearing, dropping of the case on adequate evidence, final assessment, appeal to

the Appellate Authority and refund of excess. Annexure IV supplies a single formula (Units = L × H × F) for both theft and unauthorised use. ¶ 21–29

West Bengal SEDCL v. Orion Metal — interplay of Sections 126, 135 and 154(5) SUPREME COURT

Per the Supreme Court in *West Bengal State Electricity Distribution Company Ltd. v. Orion Metal Pvt. Ltd.*, (2020) 18 SCC 588, reproduced at ¶32: theft covered by Section 135 falls within unauthorised use; authorities may make provisional and final assessment under Section 126(1) even where electricity is used by way of theft; "The assessed amount referred to in the aforesaid proviso, relates to assessment which is contemplated under Section 126(1) of the Act only"; the powers under Section 126(1) and Section 154(5) "cannot be said to be parallel to each other"; and strict proof with mens rea is required in criminal proceedings but not for assessing liability under Section 126(1). ¶ 32

> **RATIO DECIDENDI**
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> In cases of theft of electricity, absent a specific procedure in the Supply Code, 'the assessed amount' to be deposited for restoration of supply under the third proviso to Section 135(1A) of the Electricity Act, 2003 must be determined by the procedure applicable to unauthorised use under Section 126 (provisional assessment, objection, reasonable opportunity of hearing and final assessment), subject to appeal under Section 127; the appellate determination is final only for the limited purpose of restoration and, where a criminal complaint is filed, does not bind the Special Court, whose determination of civil liability under Section 154(5) prevails, with any excess refundable under Section 154(6). The High Court, acting circumspectly, may where the provisional assessment is prima facie arbitrary and for recorded reasons order restoration on payment of not less than 50 percent of the demanded amount.

ALSO HELD & OBITER

- **The powers of constitutional courts are not wholly circumscribed by statute, though self-restraint is needed within a self-contained code.** The Court observed that "the powers of a Constitutional Court, including the High Court, cannot be totally circumscribed by statutory provisions, though self-imposed restraints in dealing with matters which fall within the four corners of a self-contained statutory code are necessary." (¶39)
- **Electricity as an essential commodity for life and livelihood.** The Court remarked that "electricity is an essential commodity necessary for both life and livelihood. Its deprivation may have serious consequences." (¶39); see also ¶34, describing it as "a commodity essential for all aspects of life including business."
- **Theft involves mens rea, so a liberal approach to restoration may be inappropriate.** The Court cautioned that "in cases of theft, which necessarily involves a criminal intent (i.e. mens rea), adoption of a liberal approach may not be appropriate" and that the High Court "might be justified in even declining the prayer for restoration of electricity supply till entire amount, provisionally assessed, is deposited." (¶39)
- **The Section 126 procedure governs only until the Supply Code prescribes a separate procedure for theft assessments.** The Court framed its holding as operative "until a separate procedure is prescribed therefor by the Supply Code" (¶31), leaving room for the State Commission to prescribe a distinct theft-assessment procedure.

> **DISPOSITION**
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> Subject to the clarification that the determination of the assessed amount is, in the first place, subject to an appeal, if any, under Section 127 and, finally, subject to the civil liability determined by the Special Court under Section 154(5) of the Electricity Act, 2003 in case of prosecution, the appeal arising from the impugned order in LPA No. 592 of 2024 is **dismissed**. The appeal arising from the impugned order in LPA No. 474 of 2024 (printed in the judgment as "LPA

> No.474 of 2004"), which merely remands the matter to the learned Single Judge to decide in accordance with law, is also **dismissed**. All pending applications stand disposed of.

SIGNIFICANCE

A reportable ruling settling the procedure for assessing, contesting and restoring supply in electricity-theft cases under the Electricity Act, 2003. Key takeaways:

- **Natural justice applies to theft assessments for restoration.** Licensees cannot raise a theft demand as a unilateral supplementary bill for reconnection purposes; the consumer must be served a provisional assessment and heard on objections, as under Section 126, until the Supply Code prescribes a separate procedure (¶31, 37(i)).
- **Section 127 appeal is available in theft cases.** The Court rejected the licensees' position that a theft assessment is not appealable; the assessed amount is subject to the Section 127 appeal, an appeal being a continuation of the original proceeding (¶36, 37(ii)).
- **Layered finality: restoration versus civil liability.** The appellate determination is final only for restoration under the third proviso to Section 135(1A); where a criminal complaint is filed, the Special Court's determination of civil liability under Section 154(5) governs and excess deposits are refunded under Section 154(6) (¶35–37).
- **Consolidates *Orion Metal*.** The judgment builds on *West Bengal SEDCL v. Orion Metal*, which held that Section 126 assessment and Section 154(5) civil liability are not parallel, extending it to require the full Section 126 procedure for the assessed amount under Section 135(1A) (¶32–34).
- **Calibrated writ relief: not less than 50 percent, for recorded reasons.** High Courts must be circumspect in theft cases and may decline restoration until the full provisional amount is paid, but may order restoration on payment of not less than 50 percent where the provisional assessment is prima facie arbitrary, benchmarked on the Section 127(2) pre-deposit (¶39–40).
- **Applies directly to the Gujarat Supply Code, 2015.** The Court relied on the absence of any theft-specific Assessing Officer or assessment procedure and on the single Annexure IV formula in the Gujarat Supply Code, 2015 (¶29–31, 34).

TABLE OF AUTHORITIES

Authorities discussed in the judgment, with the treatment each received. ***Relied on*** and ***Referred*** reflect how this Court (or, where noted, the High Court) used each decision.

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
West Bengal State Electricity Distribution Company Ltd. & Ors. v. M/s. Orion Metal Pvt. Ltd. & Anr. (2020) 18 SCC 588 · Supreme Court of India	Theft of electricity under Section 135 falls within unauthorised use; authorities may make provisional and final assessment under Section 126(1) even in theft cases; the 'assessed amount' in the third proviso to Section 135(1A) relates to assessment under Section 126(1); the powers under Section 126(1) and Section 154(5) are not parallel; on the Special Court's determination of civil liability any excess deposit is refundable.	Relied on / followed

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
Southern Electricity Supply Company of Orissa Limited (SOUTHCO) & Anr. v. Sri Seetaram Rice Mill (2012) 2 SCC 108 · Supreme Court of India	Not stated in the judgment.	Referred (noticed by the High Court)

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.